

The Flaws in America's China Strategy, 1941-1949

During the United States' rise to global supremacy, it approached the struggling nation of China with the promise of support. Now, the United States has begun a period of great power competition with China for global hegemony. In order to correctly approach the current tensions, we must understand the history behind U.S.-China relations and how the relationship degraded into what it is today. This research essay will show how American foreign policy during WWII led to today's hostile relationship with China. To explain this long and complicated story, I will establish the United States' role in China and its relationship with the Chinese government before increasing cooperation with them during WWII. This research paper will be divided into two sections: initially on U.S. foreign policy towards China prior to WWII, followed by a section covering the U.S.-China relationship from 1941 to 1949.

Throughout this essay, I will argue how American military and diplomatic failures led to the current hostile relationship with China. The United States faced blatant signs to change its approach to the situation in China but failed to do so. The Roosevelt and Truman Administrations' insistence on peacefully unifying China hamstrung the Nationalists' ability to win the war while poisoning the relationship between Americans and Chinese Communists. Instead of courting both sides in China, the U.S. bet its influence and future on a corrupt foreign leader. Communism flourished in China due to these repeated diplomatic and military mistakes. Today, a hostile state threatens to overwhelm the United States' influence and power around the world. A world war previously led to a surge in U.S.-China relations, but their competition for global hegemony now threatens to ignite a new world war.

American Foreign Policy to China Prior to WWII

In the decades before WWII, the U.S. championed a policy of non-interference in China while seeking to access the large Chinese market for trade. The U.S. wanted to prevent colonial powers from spreading their influence to another corner of the world after they had already carved up Africa. The U.S. attempted to preserve Chinese territorial sovereignty with the 1899 Open Door policy. According to U.S. Secretary of State John Hay, the Open Door policy aimed to maintain the equal treatment of foreign commerce, "respect for the administrative and territorial integrity of China," and prevent "any foreign domination."¹ This policy allowed the United States to gain access to the Chinese market for trade, established good relations with China, and prevented stronger states from establishing a favorable environment in China.

However, the Open Door policy increased foreign influence in China and led to an uprising of anti-foreign and anti-Christian Chinese citizens, known as the Boxer Rebellion. An eight-country alliance of the U.S., Austria-Hungary, France, Germany, Great Britain, Italy, Japan, and Russia quickly ended the uprising.² After 233 Westerners and 100,000 Chinese citizens died, the Boxer Protocol was signed in 1901. The Boxer Protocol called for the Chinese government to pay reparations of \$333 million, or four times their annual revenue, to members of the eight-country alliance.³ More importantly, it allowed members of the eight-country alliance to station their troops at legations in Beijing and ports near critical waterways to secure their citizens' safety and trade.⁴ The United States gratefully accepted the conditions, and the champion of Chinese "territorial integrity" became one of its occupiers.⁵

The United States' silent occupation continued through the initial flames of the Chinese Civil War and Sino-Japanese War. The U.S.' policy of non-interference was useful as the ruling Kuomintang (KMT), and Chinese Communists (CCP) descended into a bloody civil war in 1927. Chiang Kai-shek led the globally recognized Kuomintang or Nationalists, while Mao Zedong, among others, led the Communist effort. After four years of KMT domination, the Japanese prevented the Nationalists from launching the likely final blow of the civil war and saved the Communists with the Mukden Incident. Japan invaded China's resource-rich Manchuria under a false flag operation in September 1931.⁶ The Japanese invasion

¹ U.S. Department of State, *United States Relations with China: With Special Reference to the Period 1944-1949* (Washington DC: U.S. Department of State, (1949), IV.

² Ibid, 431.

³ Yuwu Song, edit., *Encyclopedia of Chinese-American Relations* (Jefferson, N.C: McFarland & Co., 2012).

⁴ "Boxer Protocol." In *Encyclopedia of Historical Treaties and Alliances*, by Charles Phillips, and Alan Axelrod. 2nd ed. Facts On File, 2005.

http://ezproxy.lib.utexas.edu/login?url=https://search.credoreference.com/content/entry/foftreaties/boxer_protocol/0?institutionId=4864.

⁵ U.S. Department of State, IV.

⁶ David Kennedy, *Freedom From Fear: The American People in World War II* (Oxford: Oxford University Press, 1999), 194.

violated the Open Door policy, prompting U.S. condemnation and the Stimson Doctrine. After the Mukden Incident, American policy shifted and took a more direct role in Chinese affairs. The U.S. Secretary of State, Henry Stimson, stated that the U.S. would not recognize the Manchukuo regime and encouraged a more aggressive approach towards Japan.⁷

The Communists and Nationalists attempted to band together to protect their homeland from the superior Japanese military. This swift change from enemies to allies was due to the Communists' willingness to cease hostilities with the KMT. After the KMT routed the CCP in the initial years of the Chinese Civil War, the Second Front or KMT-CCP alliance allowed the CCP to regroup and spread their influence.⁸ Otherwise, the CCP would have been stuck between two hostile groups in the KMT and Japanese. To survive, the CCP was absorbed into the Nationalists' armies and government.⁹ Divisions between the two sides persisted, and the Nationalists and Communists split command over China's troops.

The tensions between the KMT and CCP reached a new height during the Second United Front with the New Fourth Army Incident. Communism began to spread since the Second United Front let the Communists regroup and reestablish themselves in North China. In response, Nationalist forces attacked Communist troops to prevent the spread of communism and their guerilla warfare tactics.¹⁰ The Nationalist attack foreshadowed the coming civil war and resulted in a blockade that effectively split China into two spheres of influence.

American aid began to trickle into the Nationalists' sphere in 1940, followed by American volunteers. Chiang Kai-shek's personal spokesperson to Washington, T.V. Soong, led the Chinese effort to secure American aid and personnel.¹¹ Through strong lobbying that the State Department labeled as "stepping out of line," he secured a \$100 million loan in February 1940 and a \$25 million credit in October 1940 to stabilize the Chinese yuan.¹² Although the State Department criticized Soong, his accomplishments revealed the strong and growing Sino-American relationship. The U.S. continued to provide the Nationalists with aid and kept their war against Japan going, mainly to avoid coming into direct conflict itself.¹³ By August of 1941, the U.S. approved roughly \$500 million worth of military equipment.¹⁴ In FDR's words, the approved aid was the U.S. extending "the hand of comradeship for the common good."¹⁵

⁷ Kennedy, 103.

⁸ Edward L. Dreyer, *China at War, 1901-1949* (New York: Routledge, 2013), 299.

⁹ Hans J. Van de Ven, *War and Nationalism in China, 1925-1945* (London: Routledge, 2003), 194.

¹⁰ Dreyer, 290.

¹¹ Tai-Chun Kuo, *A Strong Diplomat in a Weak Polity: T. V. Soong and wartime US-China relations, 1940-1943* (Journal of Contemporary China, 2009), 219-231.

¹² Ibid.

¹³ Van de Ven, 14.

¹⁴ Tai-Chun Kuo, 219-231.

¹⁵ U.S. Department of State, 510.

Soong's second effort failed to account for American interests and attempted to put American boots on the ground in China. Soong did not receive a "five-hundred bomber force that was piloted, supplied and maintained" by Americans, but American boots still showed up in China- just without the support of the U.S. military.¹⁶ With the help of a raise, American volunteers joined the Nationalists' war effort under the leadership of retired U.S. Army Air Corp Colonel Claire Chennault.¹⁷ The American Volunteer Force, better known as the Flying Tigers, arrived in China in late 1941.¹⁸

¹⁶ Tai-Chun Kuo, 219-231.

¹⁷ Song, *Encyclopedia of Chinese-American Relations*.

¹⁸ Ibid.

American Foreign Policy to China, 1941-1949

Following the Japanese attack on Pearl Harbor, the U.S. officially became allies with Nationalist China and significantly increased its involvement in China. Even with the significant increase in aid, supplies, manpower, and diplomacy to China, the United States faltered in its approach. Plagued by ignorance and hope for a post-war order where the U.S. and China had a "special relationship," the U.S. made mistakes that pushed its goal further away.¹⁹ Throughout WWII, the flaws in the U.S.'s new ally were apparent. Widespread Chinese corruption and their unwillingness to fight the Japanese, and rather each other, plagued American interests in the region. Instead of changing its diplomatic policies and military strategy based on these flaws, the U.S. ignored them and continued to hope for an unrealistic future.

As the U.S. entered World War II, it planned out its ideal post-war order. Beginning with the Atlantic Charter and the "Declaration by United Nations," the U.S. began to establish the basis for its ideal world order. The world order that the U.S. hoped would come to fruition included a prominent Chinese role. With its post-war goals in mind, the U.S. began a series of major policy shifts that benefited China and attempted to slowly pull it closer to the U.S. and under American influence.

The inclusion of China as one of the "Big Four" with Great Britain, the United States, and the Soviet Union gave China a glimpse at the possibilities to come and the struggles the U.S. would face to get it there. American allies pushed back on recognizing China as a major power due to the problems China had created in the past and would create in the future. Soviet leader Joseph Stalin had reservations about the Chinese since China repeatedly attempted to force the USSR into the Sino-Japanese War. At the same time, Great Britain feared that a rising China would diminish British influence in the region.²⁰ Nonetheless, the U.S. pushed for Chinese inclusion in the Big Four since it believed China was vital to countering Soviet and British influence in Asia. The U.S. succeeded, but China did not live up to American hopes.

The signing of the "Declaration by the United Nations" in January 1942 established the Allies' expectations of China in WWII.²¹ It provided the basis for Allied unity against the Axis powers and stated that the signers would employ their total resources in the war. With this declaration, the Allies expected the so-called United Front between the CCP and KMT to engage the Japanese fully. They were wrong; China had other plans and Allied ignorance let the Chinese pursue them. Mao's long-term Party Plan Speech highlighted the low effort that the Communists would put towards fighting the Japanese and that their goal was to prepare for another war with the Nationalists. Although China's recent history showed the stark divide within the Chinese population, the United States assumed the chasm between the two

¹⁹ Dreyer, 310.

²⁰ Levine and Hsiung, *China's Bitter Victory, War with Japan 1937-45*, 26.

²¹ *Ibid*, 25.

sides could be bridged and that the war would be fought in unison. If the United States had looked at the events in the Sino-Japanese War, it would have discovered the deep mistrust between the CCP and KMT and their constant repositioning for the coming Chinese Civil War. Throughout the Sino-Japanese War and World War II, the Communists expanded their influence and built infrastructure to aid the future offensive against the Nationalists.²² The United States turned a blind eye to this and continued to funnel money and arms to the divided and ineffective member of the so-called Big Four.

The U.S.' China Lend-Lease policy and training of Chinese troops underscored American ignorance and highlighted Chinese flaws. During the initial stages of U.S. involvement in WWII, thousands of American officers trained Chinese troops."²³ But the Americans misstepped once again as they only trained Nationalist Army soldiers. The Communists were left out and disregarded, which forced them to continue their guerrilla warfare tactics against the Japanese. Communist leaders found benefits to continued guerrilla warfare and lack of American training. The Communists lacked an army capable of withstanding direct military confrontation with the Japanese, but guerrilla warfare enabled them to continue fighting for their homeland and gain support from locals.²⁴ Since guerilla warfare does not require significant training, locals who lost their land to the Japanese could quickly join the fight. Additionally, the Communists were more motivated to fight the Japanese than the Nationalists since resistance gave them effective propaganda that helped grow their domestic support. Although the U.S. trained and strengthened a significant amount of the Chinese population, it made the mistake of training the side that had no intention of fighting the Japanese.²⁵

Unlike the Nationalists, the Flying Tigers were motivated to fight the Japanese. After Pearl Harbor, the Tigers got their first taste of conflict days later in Burma.²⁶ The Fighting Tigers, an American Volunteer Force, proved to be very effective and destroyed three hundred Japanese aircraft while only losing twelve planes.²⁷ While the Flying Tigers were a highlight for Sino-American military cooperation before the U.S. declared war on Japan, the fighting force became a part of the U.S. Air Force's 10th Unit afterward.²⁸ The Flying Tigers provided the Nationalists with a major morale boost as their heroics in Burma proved that the Japanese could be beaten. However, their importance and impact on the war decreased. Instead, American aid and leadership were the U.S.' main contributions.²⁹

²² Ibid, 28.

²³ Marc Gallicchio, *The Other China Hands: U.S. Army Officers and America's Failure in China, 1941—1950* (*The Journal of American-East Asian Relations*, 1955), pp. 49–72, <http://www.jstor.org/stable/23612583>.

²⁴ Dreyer, 291.

²⁵ Ibid, 306.

²⁶ Song, *Encyclopedia of Chinese-American Relations*.

²⁷ Ibid.

²⁸ Tai-Chun Kuo, 219-231.

²⁹ Song, *Encyclopedia of Chinese-American Relations*.

The United States' most prominent contribution to China's war effort was unmistakably Lend-Lease. Although the amount of aid China received was minute compared to that received by the British and Soviets, it was still a source of contention. Not only did the Lend-Lease effort highlight China's dependence on American production and supplies, but it provided the U.S. with insight into Chiang's ruling party. Corruption was common and significantly impacted Lend-Lease operations, so much so that the U.S. accounted for it in American estimates for aid that would reach its destination. While the Burma Road was still functioning and under Allied control, estimates projected that out of 14,000 tons of supplies shipped from Burma, only 5,000 tons would arrive in Chungking.³⁰

The combination of logistical problems, Chinese domestic issues, and Nationalist corruption ultimately impacted American goals within China.³¹ Mistrust within China was so widespread that the KMT continued to limit the Communists' influence and access to armaments via blockades after the New Fourth Army Incident.³² U.S. foreign policy should have reflected that China was split into two separately governed regions and aided both sides. Aiding both sides would have helped the U.S. in the coming Chinese Civil War by creating a positive relationship with the CCP and KMT and establishing the U.S. as an unbiased mediator in unification negotiations. Additionally, American aid to the Communists would have likely increased communist resistance to the Japanese during WWII and made the Nationalists reconsider their offensives after WWII. Americans supported Chiang and the Nationalists, who American policymakers believed represented a Christian and Democratic shift in China, despite Communist areas lacking the corruption, black markets, and inflation that plagued Nationalist regions.³³ However, American aid was prevented from reaching the Communists by the Nationalist blockade and insistent American policymakers.³⁴ The U.S. settled for a corrupt ally dependent on American aid and leadership and set itself up for more involvement in the Chinese Civil War that it was unwilling to commit.

American leadership arrived in the form of Joe "Vinegar" Stilwell and harmed Sino-American relations. A seasoned veteran who served in China and fluently spoke Standard Chinese, Stilwell was the commander of all American forces in China, Burma, and India, Chiang Kai-shek's Chief of Staff, and in control of China's Lend-Lease aid.³⁵ His roles of power soon became sources of strife between him and Chiang. Chiang Kai-Shek saw Stilwell's presence as an opportunity to attract more American aid and draw the U.S. into fighting on the Chinese mainland.³⁶ As a result, Chiang placed Stilwell in control of China's Burma divisions to increase his odds. However, Stilwell's leadership starkly conflicted with

³⁰ Dreyer, 267.

³¹ Ibid, 310.

³² Ibid, 290.

³³ Issitt, *Chiang Kai-Shek* and Dreyer, *China at War, 1901-1949*, 290.

³⁴ Dreyer, 287.

³⁵ Kennedy, 246.

³⁶ Van de Ven, 20.

Chiang's as Stilwell favored offensive operations while Chiang preferred defense. Their differing leadership styles led to their relationship's deterioration and impacted conditions on the ground. Upon arrival in China, Stilwell faced the imminent collapse of British troops in Burma and China's lifeline to the world: the Burma Road. While Stilwell was in Burma commanding Chinese troops, Chiang undercut him and ordered Chinese forces from afar.³⁷ By directly dealing with the Chinese unit commanders, Chiang made it impossible for the British-Chinese line to hold and caused Stilwell's retreat.

Stilwell recounted that he and his troops took “a hell of a beating,” but so did the Allies’ war effort and Sino-American relationship.³⁸ Before its closure, the Burma Road was the source of an estimated 30,000 tons of aid each month.³⁹ Even though this was “barely enough to sustain a single U.S. Army corps,” it was essential to the Nationalist’s role in the war.⁴⁰ Chinese troops would have had a single rifle for every three front-line soldiers without the Allies' aid.⁴¹ With the Japanese occupation of Burma, China lost access to aid that it depended on. In total, 49,000 tons of Lend-Lease supplies piled up in India, and roughly 149,000 tons remained in the U.S. and out of Chinese stocks.⁴²

When the aid that kept the Chinese fighting decreased, Sino-American relations descended into bickering and threats. The U.S. and China's highest commanding officers were at each other's necks, and Stilwell took advantage of any opportunity to embarrass and humiliate Chiang. On his 140-mile retreat to safety in India, Stilwell's rage rested primarily on Nationalist China's bald leader, who Stilwell began to refer to as “the Peanut.”⁴³ Stilwell blamed his defeat on “Chinese stupidity” and their “backward preference for defense.”⁴⁴ His statements were not inaccurate as historians note that most “Chinese commanders had no idea how to employ artillery.”⁴⁵ Stilwell ultimately decided that the Chinese government was “in the hands of an ignorant, arbitrary, stubborn man” and that “only outside influence” could do anything for China.⁴⁶ Unfortunately, the U.S. Joint Intelligence Committee concluded that China's strategic importance significantly decreased after the closure of the Burma Road.⁴⁷ Luckily for the Chinese, FDR's post-war plans overrode the report's advice to direct resources elsewhere, and the U.S. continued to attempt to meet their Lend-Lease obligations.

FDR’s insistence led to the construction of the Ledo Road and attempts to transport aid over The Hump. The Ledo Road aimed to forge an alternate route into China and rejuvenate U.S.-China relations,

³⁷ Dreyer, 288.

³⁸ Kennedy, 246.

³⁹ Dreyer, 267.

⁴⁰ Ibid.

⁴¹ Ibid.

⁴² Van de Ven, 35.

⁴³ Kennedy, 248.

⁴⁴ Van de Ven, 33.

⁴⁵ Dreyer, 267.

⁴⁶ Van de Ven, 32.

⁴⁷ Ibid 34.

but it did not make any logistical impact until its completion in 1945.⁴⁸ The project became another source of Sino-American collaboration as U.S. Army Engineers, and Chinese troops built the one thousand mile road.⁴⁹ The most significant of FDR's attempts to supply China was over the Himalayas or "The Hump." It became China's primary source of aid for the remaining three years of the war and sent 650,000 tons of aid.⁵⁰ The supply routes did not make too much sense logistically since planes had to use sixty percent of the fuel they delivered to return home, but it served as a major morale boost for the Chinese.⁵¹ Not only did The Hump highlight the U.S.' continued effort to support the Nationalists, but it kept them fighting the Japanese and prevented a million Axis troops from joining the fight against the U.S. in the Pacific.

However, Chiang was not satisfied as the situation around him declined. He knew the importance of domestic support in the coming Civil War and requested that the U.S. increase shipments to "provide for the importation of 2,000 tons of civilian supplies" each month.⁵² When the U.S. could not increase its monthly aid by over ten percent, Chiang demanded a billion-dollar gold loan to stay in the war.⁵³ Chiang's blatant corruption and unrealistic demands wore FDR's patience down over the war, and he finally broke it with the billion-dollar request. FDR snapped and threatened to cut off all Lend-Lease aid unless Chinese forces followed his order to attack.⁵⁴ Chiang immediately capitulated to FDR's demands as his one hope for winning the coming Chinese Civil War came under threat. Their disagreement marked the first major conflict between the two heads of state during the war but resulted from the Americans repeatedly overpromising and under-delivering.

American over-promising began at the Cairo Conference, and the U.S. continued to break the Nationalists' trust at Tehran, Yalta, and Potsdam. Cairo officially designated Chiang as a world leader and raised China's position on the international totem pole. The Western allies and China's differences showed at the conference, and the meeting focused on Chinese concerns, aggravating Churchill. Nonetheless, FDR ridiculously agreed to launch an amphibious attack against the Japanese at China's request.⁵⁵ Roosevelt betrayed Chiang's trust and took back his outrageous promise just days later in Tehran when he committed to the OVERLORD. The first meeting with Stalin had additional implications for the Chinese as the Soviets committed to join the war against Japan after the Nazis' defeat.⁵⁶ The Soviet commitment reduced China's role in the war to just distracting the Japanese until the Soviets could step in.

⁴⁸ Display Board from *Stilwell Park*.

⁴⁹ Song, *Encyclopedia of Chinese-American Relations*.

⁵⁰ Song, *Encyclopedia of Chinese-American Relations*.

⁵¹ Ibid.

⁵² U.S. Department of State, 558.

⁵³ Dreyer, 284.

⁵⁴ Ibid.

⁵⁵ Song, *Encyclopedia of Chinese-American Relations*.

⁵⁶ US Department of State Editors, *The Tehran Conference U.S. Department of State Archive*, U.S. Department of State, 2009, <https://2001-2009.state.gov/r/pa/ho/time/wwii/104429.htm>.

The Americans betrayed Chinese interests again and laid the groundwork for the concession of some Chinese ports and northern railroad rights to the USSR.⁵⁷ Without China's approval or input, the U.S. signed away critical ports in North China along with Nationalist influence in the region. American actions and agreements at conferences with the USSR led to the signing of the "Sino-Soviet Treaty of Friendship and Alliance" in August 1945. The treaty guaranteed Chinese sovereignty in Manchuria and stated that the USSR would not support the CCP in exchange for railroad rights in Manchuria and some Chinese ports.⁵⁸ Even though the U.S. took a step back from the Open Door policy and maintaining Chinese territorial sovereignty, it still attempted to organize the post-war international order. FDR, Stalin, and Churchill outlined the United Nations and the role of the Four Policemen, which included absent China.⁵⁹ Nevertheless, the three main policemen pushed forward with policies that Chiang opposed as China descended into a "hopeless mess of renewed civil war."⁶⁰

Vinegar Joe tried to prevent China's rapid collapse in WWII, but the ICHIGO Offensive and Chiang's objection diminished his abilities to make an impact. In response to Chennault's successful U.S.-flown and U.S.-backed air campaign, the Japanese launched their first major offensive in China since the U.S. joined the war.⁶¹ According to official Chinese history, the fifteen Japanese divisions consisting of over 800,000 troops could "operate at will," seized critical railways and air bases, and opened a land route to French Indochina.⁶² The Japanese offensive halted Chinese forces coordinating an attack on the Burma Road with western Allies and underscored the bankruptcy of the Chiang and FDR's preferred air strategy.⁶³ As a result of the ICHIGO Offensive, the U.S. could no longer use Chinese airbases as launchpads to bomb the Japanese mainland and lost faith in the Chinese leadership. Without the ability to directly attack the Japanese mainland from China, China's value in the war decreased. U.S. strategy had to change due to failures caused by incapable Chinese leaders that would not listen to superior American commanders. An enraged and disappointed Roosevelt telegrammed Chiang and demanded that Chiang put Stilwell in "unrestricted command" of all his forces.⁶⁴ In Stilwell's words, he had "laid the Peanut low," and caused the Peanut to crack.⁶⁵

Chiang responded to FDR with his own ultimatum and demanded Stilwell's removal or China's involvement in WWII would end. Chiang's demands impacted U.S. public opinion of their valuable ally

⁵⁷ Ibid.

⁵⁸ James Chieh Hsiung, and Steven I. Levine, edit., *China's Bitter Victory: the War with Japan, 1937-1945* (London: Routledge, 2015), 26.

⁵⁹ U.S. Department of State Editors, <https://2001-2009.state.gov/r/pa/ho/time/wwii/104429.htm>.

⁶⁰ Kennedy, 249.

⁶¹ Dreyer, 307-308.

⁶² Ibid, 285.

⁶³ Ibid, 288.

⁶⁴ Dreyer, 288.

⁶⁵ Ibid.

in Asia and how the U.S. attempted to accomplish its goals in the Pacific. After hearing the same threat for the entire war, Roosevelt still capitulated and removed Stilwell. FDR tried to preserve Sino-American relations for the post-war, but Stilwell's dismissal swayed the American public. Americans viewed Stilwell as a qualified war hero, so his removal shifted American opinions of Chiang from a "courageous, patriotic, and upright leader to that of a corrupt and reactionary dictator."⁶⁶ American support for the defensive and corrupt Nationalists was decreasing, and American officials began to look for new ways to achieve their goals in China.

Their search led them to the Communist capital of Yanan. The Dixie Mission established contact with the Communists while the Ichigo Offensive, Stilwell's removal, and the continued blockade between the KMT and CCP were fresh in their minds.⁶⁷ The American Military Observer Group or Dixie Mission provided the U.S. with evidence for possible collaboration with Chiang's rival. The Communists helped the American mission rescue downed Flying Tigers pilots and provided the U.S. with information on the Japanese.⁶⁸ Due to effective American and Communist teamwork, the Dixie Mission produced reports that favored the CCP. Their reports advocated for the CCP to receive "direct U.S. support" and stated that the Communists were fighting the Japanese, unlike the KMT.⁶⁹

During WWII, the Communists attempted to convince the U.S. delegation that they were aggressively fighting the Japanese. In reality, neither side of the divided Policeman fought a total war against Japan. Both sides believed they had already done their part in the war while the U.S. was still at peace from 1937 to 1941.⁷⁰ They reasoned that the U.S.' duty was to finish the job while China recovered through a two-step plan. Step one was to lie to the Americans and trick them into believing that China was carrying its weight during the war. Step two was to either stockpile American goods, money, and arms or concentrate on survival and political expansion to prepare for their domestic showdown.⁷¹

The Dixie Mission, consisting of lower-level military, intelligence, and diplomatic officials, did get some things right despite their incorrect assessment of the Communists' involvement in the war against Japan. They reported the growing mass support for the Communists in North China and correctly predicted that "power in China is on the verge of shifting from Chiang to the Communists."⁷² However, the Dixie Mission could not influence American policy due to their low ranks and ultimately failed to change U.S.'s strategy in China. Senior officials like Ambassador Hurley prevented \$20 million worth of aid, which was recommended by the Dixie Mission, from being approved for the Communists.⁷³

⁶⁶ Hsiung and Levine, 24.

⁶⁷ Song, *Encyclopedia of Chinese-American Relations*.

⁶⁸ Ibid.

⁶⁹ Dreyer, 297.

⁷⁰ Ibid, 306.

⁷¹ Ibid, 307.

⁷² Ibid, 299.

⁷³ Lyman Van Slyke, edit., *The China White Paper* (Stanford: Stanford University Press, 1949), 86-87.

Nevertheless, Mao Zedong supported the mission since it increased the Communists' chances of greater U.S. recognition and even post-war support.⁷⁴ Even though the mission proved that the U.S. and CCP could work together, the U.S. failed to see this as a possibility after WWII. It missed an opportunity to build a positive, friendly relationship with the Communists. With Hurley's resistance, no aid reached the Communists, and the Americans cemented themselves on the side of Chiang's failing government.

Aside from preventing aid from reaching the Communists, Ambassador Hurley played a large role in the negotiations to peacefully unite China. He personally met with both Mao Zedong and Chiang Kai-shek, greeting Zedong with an Indian war-whoop and Chiang as Mr. Shek.⁷⁵ With his cultural awareness, Hurley made remarkable progress with the divided nation's representatives. In November 1944, the Communists and Hurley wrote the *Five-Point Plan*. The plan stated that the two sides would reorganize the National Government into a coalition government.⁷⁶ The coalition would have the power to unite and command all anti-Japanese military forces and recognize the KMT, CCP, and other anti-Japanese parties. Hurley left his mark on the plan as the draft called for the coalition government to be "a government of the people, for the people, and by the people."⁷⁷ The Nationalists rejected the agreement and proposed a counteroffer called the *Three-Point Plan*. The Nationalists' offer, which Hurley had no role in creating, stated that the Nationalist Government would absorb Communist forces and did not guarantee any recognition of the CCP or the creation of a coalition government.⁷⁸ Without a guarantee of their safety or recognition, the Communists rejected the Nationalist counteroffer. Dismayed by the CCP's insistence on matters that led to their survival or death, or what Hurley referred to as annoying "details," he tried to keep each side at the negotiation table.⁷⁹

The Hurley Mission continued after the Japanese surrender on September 2, 1945 but was unable to prevent the Chinese Civil War from reigniting. Despite pesky details, the two sides agreed to acknowledge each other as a legitimate government and party, and the CCP recognized the KMT as the ruling party during China's transition to a democratic regime.⁸⁰ While Hurley and negotiators were hard at work, the Communists took control over railroads in North China and refused to leave them unless the KMT stopped moving troops into the region. The KMT refused and continued to fill the power vacuum left by the Japanese. On November 4, 1945, the U.S. Embassy in Chungking reported the situation as "hopeless."⁸¹ Just twenty-two days later, Hurley lost hope and resigned.⁸² According to Chiang, Hurley

⁷⁴ Song, *Encyclopedia of Chinese-American Relations*.

⁷⁵ Dreyer, 298.

⁷⁶ Van Slyke, 74.

⁷⁷ Ibid.

⁷⁸ Ibid, 75.

⁷⁹ Van Slyke, 107.

⁸⁰ Van Slyke, 106.

⁸¹ U.S. Department of State, 110.

⁸² Ibid, 112.

“won the respect and affection of the Chinese people” due to his “wise statesmanship.”⁸³ Those at home in America had differing opinions of the war-whooping diplomat. The American left viewed the loss of a “wonderful chance for friendly relations” with CCP due to Hurley's stupidity.⁸⁴ However, Hurley made considerable progress towards a peaceful unification. In the end, China's internal divisions prevented the success of American efforts.

By Japan's surrender, the situation in China had drastically changed. Communist support dramatically increased, and Russia's involvement in the region aided Communist goals. A red ideological wildfire spread in Northern China during WWII, and Mao Zedong brought more than one hundred million peasants into the Communist Party.⁸⁵ Nationalist failures caused millions of peasants to transition from KMT supporters to Communist revolutionaries. Inflation was rampant during the war and destroyed most of the Chinese economy. With millions struggling, joining Mao Zedong's agrarian reform movement to revive the nation appealed to many.⁸⁶ Additionally, port cities with modern economies were KMT strongholds before WWII.⁸⁷ Once Japanese troops occupied them in the Sino-Japanese War, the KMT could not rescue their loyal supporters. The Japanese's brutal treatment of Chinese citizens exacerbated the Nationalists' issues. The Nationalists' resistance to engaging the Japanese led to the Soviet invasion of Manchuria and aided Communist expansion and strength. The Soviets withdrew from Manchuria per the “Sino-Soviet Treaty of Friendship and Alliance,” but Communist troops replaced them. The Soviets left Japanese and some Soviet equipment to aid the Communist effort.⁸⁸ Without the Soviet support, Communist forces would have struggled to engage the well-trained and equipped Nationalist forces.

Despite lacking support from their citizens, the KMT still had an abundance of money and American Lend-Lease supplies from WWII. At the end of the war, the Nationalists had accumulated \$900 million in gold and U.S. dollar exchange as well as several hundred more million U.S. dollars worth in other foreign exchanges.⁸⁹ Additionally, American support during the war added up. The Nationalists had received roughly \$845 million of Lend-Lease aid by Japan's surrender and had a major military advantage over the Communists.⁹⁰ With the support of the U.S.’ wartime aid, the State Department reported that the Nationalists had an estimated “five to one superiority in combat troops and in rifles” paired with a “practical monopoly of heavy equipment and transport.”⁹¹ However, the Communists still overpowered

⁸³ Van Slyke, 107.

⁸⁴ Dreyer, 299.

⁸⁵ Micah L. Issit, “Chiang Kai-Shek.” *Chiang Kai-Shek*, 2017, <https://search-ebscohost-com.ezproxy.lib.utexas.edu/login.aspx?direct=true&db=prh&AN=20202889&site=ehost-live>.

⁸⁶ Song, *Encyclopedia of Chinese-American Relations*.

⁸⁷ Dreyer, 209.

⁸⁸ Dreyer, 315.

⁸⁹ Van Slyke, 129.

⁹⁰ U.S. Department of State, 1046.

⁹¹ Van Slyke, 311.

the Nationalist military after withstanding the Nationalist offensive due to high morale and domestic support.

American material and money were just the beginning of American support for the Nationalists' effort as the U.S. made diplomatic and direct military contributions. While acting as the mediator between the Nationalists and Communists, the U.S.' actions made its goal of a Nationalist China clear. U.S. President Truman flexed his international influence and power over the Japanese with *Order Number One*. The order stated that Japan could only surrender to KMT troops or else they would not be repatriated.⁹² With *General Order No. One*, the Americans and Nationalists used Japanese troops to prevent Communist expansion. Communist troops attempted to trick Japanese forces and dressed up as Nationalists but usually failed, resulting in clashes between the armed forces.⁹³ Roughly 300,000 Japanese troops joined the Nationalists after coordinating with them under *General Order No. One* and fighting for their repatriation.⁹⁴ Despite Truman's insistence on a non-interference policy in the Chinese Civil War, the U.S. had boots on the ground aiding the Nationalists. The U.S. transported Nationalist troops and occupied key cities and infrastructure after WWII. Due to China's vast mainland, the U.S. transported three Nationalist armies of 450,000 troops to North China.⁹⁵ Ultimately, the American effort to transport Nationalist forces into Northern China to fill the power vacuum directly contributed to the failure of the Hurley Mission.

The U.S. advised the Nationalists not to occupy Manchuria while transporting Nationalist troops there. U.S. General Albert Wedemeyer reported to Washington that the Nationalist Government would be "completely unprepared for the occupation of Manchuria in the face of communist opposition" and should rather stabilize Southern China.⁹⁶ Instead of listening to American advice, the Nationalists pushed forward with their unrealistic ambitions. After all, Chiang viewed the Communists as a "disease of the heart" and wanted to cure China as quickly as possible.⁹⁷ Chiang's forces rushed into Northern China, where the Nationalist Government's "abuses and malpractices had already created serious discontent among the local population."⁹⁸

The U.S. also refused to listen to its own advice. President Truman declared that there would be "no American military intervention to influence the Chinese Civil War."⁹⁹ But the U.S. still sent 50,000 Marines to occupy Beijing, Tientsin, major coal mines, and critical supply lines in North China.¹⁰⁰ Truman

⁹² Tang Tsou, *America's Failure in China, 1941-50* (Chicago: University of Chicago Press, 1967), 308.

⁹³ Ibid, 309.

⁹⁴ Dreyer, 314.

⁹⁵ Tsou, 308.

⁹⁶ Van Slyke, 131-132.

⁹⁷ Dreyer, 172.

⁹⁸ Van Slyke, 132.

⁹⁹ Van Slyke, 133.

¹⁰⁰ Ibid, 132.

argued that American forces were only present to disarm the Japanese, but American military boots on Chinese soil aided the Nationalists. U.S.-CCP relations worsened as Marines occupied various areas in China and directly enabled the Communists' enemy to position for the future. The combination of a Nationalist Government set on domination instead of cooperation and U.S. hypocrisy made the task of peacefully uniting China more difficult. Wedemeyer's report in Washington informed Truman's new personal Representative to China and Chinese Ambassador of the daunting task that faced him.

George Marshall's appointment initially led to major achievements toward China's peaceful unification. Marshall began his mission by creating the Committee of Three to lead the unification talks. It consisted of Marshall, a CCP representative named Zhou Enlai, and a KMT representative named Zhang Qun.¹⁰¹ After two months, the U.S.-led trio agreed to a ceasefire agreement, and the Chungking Embassy's 'hopeless' situation looked promising. The ceasefire established favorable conditions for further negotiations that led to the KMT and CCP agreeing to reduce the size of the Chinese army by fifty percent. The army would consist of 10 Communist divisions and 50 Nationalist ones.¹⁰² Additionally, the Political Consultative Conference (PCC), where American mediators were absent, made progress in drafting a formal constitution.¹⁰³ The PCC's negotiations made so much progress that Chiang prepared a statement to promote the Bill of Rights and ask for the new constitution's submission to the National Assembly.¹⁰⁴ With negotiations going well, Marshall rushed to report to Truman about the situation in China.

While he was gone, negotiations crumbled along with peace in China. Although there is no evidence that it was coordinated with Marshall's absence, both sides began to blatantly violate the ceasefire agreement. Communist actions achieved objectives and provided a significant advantage when war broke out, but Nationalist actions did relatively little. Anti-coalition Nationalist generals ignored the ceasefire and wasted troops and resources on useless efforts. They attempted to gain control of areas far from the agreed-upon communication lines, needlessly searched Communist homes, closed down Communist newspapers, surrounded Communist troops, 'buzzed' airfields in the Communist capital, and moved more troops North.¹⁰⁵ Nationalist actions violated the ceasefire agreement, did not accomplish anything and were a direct result of Nationalist greed and hatred of the Communists. Additionally, they directly conflicted with Chiang's proposed Bill of Rights in PCC negotiations, a clear red flag that Marshall should have met with consequences and increased Communist suspicions. The Communists did not waste resources and instead took control of the previously Soviet-held cities like Changchun. The

¹⁰¹ Ibid, 137.

¹⁰² Dreyer, 316.

¹⁰³ Dreyer, 316.

¹⁰⁴ Van Slyke, 139.

¹⁰⁵ Ibid, 213.

Soviets helped them advance by preventing Nationalist troops from using the railroads in Manchuria and increased Communist fighting strength by leaving Soviet and Japanese weapons behind. Stalin's forces argued that this followed the "Sino-Soviet Treaty of Friendship and Alliance," which the U.S. forced the Chinese to sign.¹⁰⁶ The Soviet hold on railways diminished KMT influence in the North and increased Nationalist reliance on American transport. Soviet actions also highlighted how American concessions in Yalta did betray Chiang and hurt U.S. goals.

From the Nationalists' perspective, the Communist occupation of Changchun forced their hand and prompted their offensive in Manchuria. Marshall strongly opposed the Nationalist advance since it risked over-extending supply lines through thousands of miles of hostile territory. Chiang's diary confessed his determination to move forward with the offensive as he wrote, "If I myself do not have a firm mind, this [Marshall's recommendations] will not only lead to a failure but will ultimately ruin the whole country."¹⁰⁷ After assessing the situation, Marshall believed he could no longer "accomplish anything through mediation."¹⁰⁸ Despite the present tension between Marshall and Chiang, Marshall surprisingly allowed Chiang to use his personal plane. The CCP viewed this act of goodwill as a sign of American support for the invasion that followed.

The timing of the second ceasefire supported Communist and reactionary Nationalist suspicions of Marshall and American interests in the region. After the Nationalist takeover of Changchun, the KMT gave the Communists ten days to review and respond to their new terms. The ceasefire terms clearly benefited Chiang and his supporters as they had accomplished their objective before pursuing peace. However, Communists and anti-coalition Nationalists launched massive propaganda campaigns directed at the Americans. The Communists focused on their biased mediator's actions, such as continued logistical support and military aid for the Nationalists. Their main grievance was the American promise to send the KMT surplus property from various Pacific islands. American officials clearly communicated that these supplies supported the overall Chinese reconstruction effort and did not support the Nationalist war effort.¹⁰⁹ Nevertheless, the Communists viewed American aid as "large-scale military aid" that encouraged Nationalist attempts to solve China's domestic issues with force rather than diplomacy.¹¹⁰ Reactionary Nationalists argued that American goods and economic might displaced Chinese products, bankrupted Chinese industrialists, and prevented China's economic recovery. Their arguments were incorrect and aimed to galvanize public opinion against the American-led peace talks. While American goods may have entered the Chinese market, the U.S. funded almost all of China's economic recovery.

¹⁰⁶ Ibid, 214-215.

¹⁰⁷ Chao Hsiang-ke & Lin Hsiao-ting, *Beyond the Carrot and Stick: the Political Economy of US Military Aid to China, 1945-1951* (Journal of Modern Chinese History, 2011), 203.

¹⁰⁸ Van Slyke, 152.

¹⁰⁹ Ibid, 180.

¹¹⁰ Van Slyke, 180.

Since Japan's surrender, the U.S. supplied China with ninety percent of the \$2.254 billion worth of foreign aid.¹¹¹ Despite China's dependence on the U.S., the reactionary Nationalists' successful anti-American propaganda campaign forced Chiang to pursue a war of extermination against the Communists.¹¹²

As a result, Marshall lost his status as an independent mediator and the second ceasefire fell apart just like the first. KMT troops rapidly advanced into Communist territory once war resumed, despite Marshall's attempts to force them to return to negotiations. On July 2, 1946, Marshall and Truman placed an arms embargo on Nationalist forces.¹¹³ It did not disway the KMT offensive due to the massive amount of aid the Nationalists received during and after WWII. The KMT offensive initially succeeded and enabled them to capture the CCP capital of Yanan. However, the Communists did not value the symbolic importance of their capital as the Nationalists would. Instead, the Communists avoided any fight that would lead to major losses and retreated.¹¹⁴ After all, the CCP had practiced retreating over six thousand miles in 1934 during the Long March.¹¹⁵ Just like before, the Nationalists could not bring the conflict to a conclusion.

Now it was the Nationalists' turn to retreat. Nationalist advances deep into Communist territory over-extended their supply lines and provided the Communists with an easy way to wear down troop morale and supplies. By May 1947, the Mukden Consul General described a growing "apathy, resentment and defeatism" in Nationalist forces.¹¹⁶ After the capture of Yanan in October 1947, the Communists still had a massive morale advantage due to their growing numbers and willingness to fight for their homes, while Nationalist troops longed for reinforcements.¹¹⁷ With supply lines under pressure, low troop morale, and their enemy's strength growing by the day, the Nationalist offensive halted, and the Chinese Civil War swung in favor of the Communists.

The Marshall Mission concluded before the Communists gained the edge in the war and U.S. policy began to search for a new strategy. President Truman recalled George Marshall in January 1947 and blamed the "selfish interests of extremist elements" in the KMT and CCP for Marshall's failure.¹¹⁸ With Marshall's departure, the U.S. ended its involvement in the Committee of Three and withdrew all remaining Marines in North China.¹¹⁹ Despite the withdrawal of most American personnel from China, American support remained, and General Wedemeyer began a fact-finding mission to determine the U.S.'

¹¹¹ U.S. Department of State, 405.

¹¹² Van Slyke, 170.

¹¹³ Hsiang-ke and Hsiao-ting, 150.

¹¹⁴ Van Slyke, 314.

¹¹⁵ Dreyer, 209.

¹¹⁶ Van Slyke, 316.

¹¹⁷ Van Slyke, 316.

¹¹⁸ U.S. Department of State, 652.

¹¹⁹ Van Slyke, 220.

next approach.¹²⁰ Wedemeyer's report recommended that the U.S. send ten thousand military advisors and millions of dollars in new aid.¹²¹ However, the new Secretary of State, George Marshall, opposed sending more Americans or aid to a corrupt government's futile cause.

The U.S. government, undeterred by Marshall, provided the Nationalists with more aid in the China Aid Act of 1948. The State Department believed that the act included \$463 million for the Chinese government to "execute desperately needed measures of self-help."¹²² Although it was roughly a quarter of American aid to China after WWII, it did not meet Truman's request of \$570 million of economic assistance. Inflation continued to rage in China without the necessary funding, and prices in August 1948 were more than three million times those of June 1937.¹²³ The China Aid Act drove a deeper wedge into the U.S.' relationship with the CCP, which was in a dominant position to win the war and control the world's most populous country. Additionally, it highlighted that the U.S. was divided between the complete support or abandonment of China. This divide resulted in U.S. action that was half-hearted and did not accomplish anything besides harm U.S.-CCP relations.

In August 1948, the U.S. updated its China policy and adopted a more aggressive stance towards the CCP even though a Communist victory was likely. Previously KMT controlled cities were now in Communist hands after Nationalist troops were cut off from their supply lines and "made no serious attempt to fight," according to a Senior U.S. Military Advisor.¹²⁴ Yet, Marshall's policy directives in August 1948 stated that the U.S. must not give "any implication of support, encouragement or acceptability" of a coalition government involving the CCP and that the U.S. would never offer "its good offices as a mediator" again.¹²⁵ By now, the U.S.' good offices had implemented policies that were drastically different from American actions, alienated fifty percent of the representatives they mediated, and poisoned relations with the Communists. The reasoning behind this shift was questionable, as it forced the U.S. to take a harder stance against China's future rulers and relinquished its ability to impact China at the same time.

Ultimately, Truman announced the end of "military assistance" to safeguard the Nationalists after they retreated to Taiwan and failed to unite China by peaceful means.¹²⁶ After an unrelenting advance into South China called the Huai-hai campaign, the Communists forced Chiang and the Nationalists out of Mainland China in 1949.¹²⁷ Nationalist forces put almost no resistance to the Communist advance. Chiang

¹²⁰ Lin Hsiao-ting & Wu Su-feng, *America's China Policy Revisited: Regionalism, Regional Leaders, and Regionalized Aid (1947-1949)* (The Chinese Historical Review, 2012), 110.

¹²¹ Song, *Encyclopedia of Chinese-American Relations*.

¹²² U.S. Department of State, 393.

¹²³ Ibid, 399.

¹²⁴ Van Slyke, 319.

¹²⁵ U.S. Department of State, 280.

¹²⁶ Hsiang-ke and Hsiao-ting, 207.

¹²⁷ Dreyer, 345.

resigned to prepare for life in Taiwan and blamed the remaining commanders for losing the mainland.¹²⁸ The Truman Administration attempted to maintain their policy of, as historians say, “letting the dust settle” in China.¹²⁹ The U.S. was incapable of convincing either side of the Chinese Civil War to seek peaceful unification. Its inability to persuade the KMT is shocking since the U.S. provided the money, arms, and leadership that could have led to a Nationalist victory. Instead, the U.S. continued to ignore Nationalist corruption, militaristic ignorance, and hypocrisy. In the end, it cost the U.S. its Fourth Policeman.

¹²⁸ Ibid, 347.

¹²⁹ Ibid, 349.

Conclusion

The ghost of the Chinese Civil War still torments Americans today. From 1941 to 1949, the U.S.-China relationship drastically changed. In 1941, China was crucial in the U.S. strategy during the war and in times of peace. However, after ten years of almost unlimited American support, China was at war with the U.S. in the Korean War. Now, the remaining issues of the Chinese Civil War threaten to reignite tensions between the U.S. and China. If China attempts to end the Chinese Civil War ninety-five years after it began, the world's greatest superpowers may engage in a hot war. Understanding the roots of tensions surrounding Taiwan is essential to preventing the outbreak of war.

Before China's rise to its current status as a global superpower, the U.S. and China were close allies. The U.S. defended China's territorial sovereignty against colonial powers in the early 20th century. However, the struggles of WWII and the Chinese Civil War led to the deterioration of Sino-American relations. The U.S. spent billions of dollars and mobilized thousands of diplomats, military officials, and even volunteers to maintain its relationship with the Chinese Nationalist Government. In doing so, American efforts alienated the Chinese Communist Party and laid the foundation for hostility. Although the U.S. ignored blatant signs to change its approach to the China issue, it was China's internal divisions that prevented peaceful unification.

During WWII, the U.S. armed, advised and supported China against the Japanese. Through U.S. diplomatic and military efforts, the world recognized China as one of the four most powerful nations in the world, and China's ability to fight the Japanese drastically increased. Despite some successes, American policies were full of flaws. American action often ignored the fundamental issues in Nationalist China and poisoned relations with Communist China as a result. Throughout the war, both Nationalist and Communist China did not fully fight the Japanese and instead prepared for the coming civil war. Americans did not acknowledge this and continued to support the Chinese. Towards the end of the war, American diplomatic efforts, such as Ambassador Hurley's mission, made progress in uniting China, but Chinese divisions prevented the U.S. from achieving its goal.

Ambassador Hurley's resignation did not mark the end of American efforts to peacefully resolve China's internal divisions. Americans successfully brokered ceasefires and convinced the warring sides to attempt to write a constitution after WWII. Although American senators, such as Joe McCarthy, blamed American diplomats, and servicemen for the so-called 'loss of China,' Americans were not to blame. The unwillingness of both the Nationalists and Communists to reach a peace agreement led to China's descent into civil war. American diplomats, most significantly George Marshall, made every effort to solve China's domestic issues. However, American policies and actions were inconsistent. The U.S.' diplomatic arguments and military actions harmed negotiations and poisoned relations between the Americans and

Chinese Communists. American military actions encouraged an aggressive Communist approach while Nationalist foolishness caused their own defeat.

Overall, by only supporting the KMT and neglecting its relationship with the CCP, the U.S. missed the opportunity to develop a favorable relationship with the party that Chinese citizens supported. Even if the U.S. achieved a peaceful unification, a democratic China would likely have led to CCP leadership due to the widespread support of the CCP in China. Once the U.S. realized this via the Dixie Mission, it should have built a positive relationship with the CCP and become a truly neutral mediator. The U.S. failed to do so as it continued to support the KMT and based its policies around anti-communist sentiment. These failures, along with the Chinese's unwillingness to unify peacefully, laid the foundation for the current U.S.-China hostility. In the end, the United States did not lose China because to lose something; you need to possess it in the first place.